To: Office of Science and Technology Policy (OSTP), the NITRD NCO

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RE: Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

1.0 Introduction

The rapid advancement of AI technology in our time calls for a robust AI strategy and framework at the global and national levels that ensure AI is beneficial to humans.

The United States of America (US) has no comprehensive federal legislation on AI like the EU AI Act or GDPR. US's AI strategy, like its data privacy strategy, is industry and market driven. US has a patchwork of standards and frameworks and State level legislation in respect of consumer protection, employment, generative AI policy or Automated Employment Decision Tools (ADET) having intersections with privacy, bias and ethics.[1] Much of the legislative activity related to AI is concentrated among the 50 states.[2]

US is ranked at first place on both the Oxford Insights AI Readiness Index 2024 and the Tortoise Media Global AI Index.[3] The US is ranked top in respect of "talent; infrastructure, research; and development" sub-pillars. The US is, however, ranked 2nd place on the "government strategy" sub-pillar. This underscores the need for a comprehensive national AI strategy.

2.0 AI and AI Governance

"AI Governance" has been defined as –

> *A system of laws, policies, frameworks, practices and processes at international, national and organizational levels. AI governance helps various stakeholders*

implement, manage and oversee the use of AI technology. It also helps manage associated risks to ensure AI aligns with stakeholders' objectives, is developed and used responsibly and ethically, and complies with applicable requirements.[4]

The primary objective of AI governance is to foster innovative and trustworthy AI and to protect the interests of government, citizens, businesses, and society. The proliferation of AI models and systems has made AI governance a necessary imperative. Policymakers and business leaders in their boardrooms and at the world stage are concerned with how best to regulate AI, integrate AI into the economy, and build capacity around AI.

AI governance promotes innovative and trustworthy AI. It ensures regulatory compliance and boosts public trust and confidence. It ensures that AI design, development and deployment is ethical, safe and beneficial to humans and society.

There are existing AI standards and frameworks which may be leveraged in formulating an AI Action Plan. These include: - OECD AI Principles; UNESCO Recommendations on the Ethics of AI; ISO 42001; and NIST AI RMF.[5]

Common principles amongst the four standards/frameworks – AI ethic and AI safety, transparency and accountability, fairness, explainability, research, development and innovation (RD&I), democratic values, international cooperation, human agency and oversight, AI literacy, AI risk assessment and AI risk management.

The OECD AI principles influenced the UNESCO Recommendations and EU AI Act. The US is a signatory to the OECD AI principles and the UNESCO Recommendations on the Ethics of AI. The US is also a member of GPAI and G7.

3.0 Areas of Concern and Recommendations

AI comes with potential benefits and risks to humans and society. These risks have raised public concerns about AI ethics and AI safety regarding AI bias and discrimination, energy consumption, hallucination, job loss and disruptions, deepfakes, national security, cyber-attacks, black box problem, human rights, data privacy and copyright violations.

- **Innovative and Trustworthy AI**

There are those who argue that regulation can stifle innovation. On the contrary regulation provides clarity and direction to the market. A market driven approach to regulation with the proper guardrails will promote innovation and trust.

Recommendations -

1. A balanced approach to regulation involving all AI actors and stakeholders comprising policymakers, AI developers and researchers from the industry and academia, civil society and consumers.
2. The AI Action Plan should involve broad consultation and participation across the private and public sector. There should be a multi-disciplinary and multi-stakeholder approach to formulating an AI strategy and framework.
3. Continued engagement and participation at international platforms and summits to promote the US position on AI and strengthen partnerships, cooperations and opportunities for AI R D& I.
4. Issuance of guidelines on AI Ethics and Safety to promote human flourishing.
5. Issuance of guidelines on the use and adoption of AI in Public and Private Sector.
6. Issuance of guidelines for the protection of children and vulnerable persons from AI risks.
7. Investment in AI infrastructure to foster economic competitiveness, and national security.
8. Establish capacity building programs and initiatives to promote AI literacy and awareness among US citizens and residents.
9. Promotion of STEM, AI/Machine Learning scholarships and programs at the high school and university levels
10. Investment in AI and cybersecurity to avoid risks of AI enabled cyberattacks and risks to critical infrastructure.

- **AI and Data**

Data has been described as the life-blood of the digital economy. The core components for developing AI models include data, algorithms, and computing power. Data is crucial to training AI models. However, there are intersections between AI and privacy.

There are concerns about data provenance and data sovereignty. There must be respect for the rights of data subjects about the collection, use and storage of their personal data to train or enhance AI models and systems. There are also concerns about algorithm bias and hallucination. AI explainability promotes interpretability and auditability.

Recommendations –

1. Promotion of data privacy rights to foster transparency and accountability throughout the lifecycle of AI models and systems.
2. Data diversification and augmentation to address concerns around gender and racial bias, discrimination and underrepresentation of vulnerable and protected classes in AI products and solutions.

- **AI and Copyright**

There have been concerns about the use of copyrighted material in training AI models. This has resulted in outcry and lawsuits by artist against AI companies.

Recommendations –

1. There should be acknowledgment and compensation for the use of the works copyright holders in AI development and deployment.
2. There should be an exemption when works are used for research and educational purposes. However, when such works form part of the out-put material like in the case of generative AI there should be attribution and adequate compensation.
3. There should be consultation and negotiation between AI developers and representatives of artists and copyright holders (e.g. Associations, Groups, or Collection Societies) to arrive at a scale of licensing fees and compensation acceptable to all parties.
4. A mechanism for content water-marking and labelling should be put in place.

- **AI and the Environment**

The global digital and energy transition (Zero by 2030) is tied to Tin, Tantalum, Tungsten and Gold (3TG). A significant amount are found in the DRC and tied to illegal mines, forced labor, and environmental degradation. Thus, they are often referred to as "conflict minerals."

Section 1502 of the Dodd-Frank Act (2010) and Securities and Exchange Commission (SEC) Conflict Minerals Rule (August 2012) [6] aim to promote transparency and standardize the 3TG supply chain, by imposing reporting obligations on companies about the origin and use of 3TG in their products. The Dodd Frank Act and SEC Rule applies to manufacturers of electronics and communications, aerospace, automotive, jewelry and medical devices.

There is also concern about the massive consumption of water and energy by GPUs and data centers, which is estimated at about 2-3% of the global energy consumption. This figure is predicted to rise significantly in the future with increase AI adoption and activities.[7]

Recommendations –

1. Adherence to Dodd-Frank and SEC Rules on Conflict Minerals.
2. Transparency about the source of 3TG and other materials that go into production of GPU, chips, batteries, semi-conductor and other components the AI technology revolution.
3. Investment in the development of more innovative and efficient AI models and data centers to reduce water and energy consumption and carbon emissions. (e.g. carbon-aware AI).
4. Investment in, and commitment to Corporate Social Responsibility (CSR) and ESG programs to address human and environmental concerns of host communities.
5. Streamlining AI policy and activities with achievement of the SDGs.

4.0 **Conclusion**

In order for the US to maintain its AI dominance and AI leadership position there should be a robust AI Action Plan to promotes innovative and trustworthy AI. It should however be noted that an AI policy would only be successful if there is mass adoption and ownership by all sectors and citizens. The AI Action Plan provides an opportunity to define US AI policy and strategy for economic growth and well-being of US citizens.

*This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.

References

1. AI Training for the Acquisition of Workforce Act; the Algorithmic Accountability Act; AI in Government Act; National AI Initiative Act; Title VII of the Civil Rights Act; Age Discrimination in Employment Act; Fair Credit Reporting Act; Genetic Information and Non-discrimination Act (GINA); Children's Online Privacy Protection Act (COPPA), Federal Trade Commission (FTC) Act; and Health Insurance Portability and Accountability Act (HIPAA).

2. like California, Colorado, Illinois, New York, Utah. For example, the 2021 New York City Local Law 144, Illinois AI Video Interview Act; HB 3773 amending Illinois Human Rights Act; New York State Department of Financial Services (NYDFS) "guidance on cybersecurity risks associated with artificial intelligence (AI)"; Utah AI Policy Act (SB 149); Colorado Artificial Intelligence (AI) Act (SB 24-205); California AI Transparency Act (SB 946); and Senate Bill 896: Generative Artificial Intelligence (GenAI) Accountability Act (SB 896).

3. Oxford Insights AI Readiness Index < Oxford Insights AI Readiness Index > accessed 13 March 2025; and Global AI Index <https://www.tortoisemedia.com/data/global-ai#rankings> accessed 13 March 2025.

4. IAPP – "Key Terms for AI Governance" <https://iapp.org/resources/article/key-terms-for-ai-governance/> accessed 13 March 2025.

5. OECD AI Principles Overview (*OECD AI Policy Observatory*) <https://oecd.ai/en/ai-principles> accessed 13 March 2025;
UNESCO Recommendation on the Ethics of AI <https://www.unesco.org/en/artificial-intelligence/recommendation-ethics?hub=32618> accessed 15 March 2025;
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6. Source Intelligence, "EU Conflict Minerals Regulation vs. U.S. Dodd-Frank Act Section 1502" (*Source Intelligence*, 3 July 2024) <https://blog.sourceintelligence.com/blog/eu-conflict-minerals-vs-us-dodd-frank-act-section-1502> accessed 14 March 2025.

7. IEA 2024 Electricity Report <https://iea.blob.core.windows.net/assets/6b2fd954-2017-408e-bf08-952fdd62118a/Electricity2024-Analysisandforecastto2026.pdf> accessed 13 March 2025.